

peak rate of duty.

Suresh Khanna, secretary general at Consumer Electronics and Appliances Manufacturers Association (CEAMA), cites particularly the examples of set-top boxes (STBs) and LCD TVs to highlight how the discrepancies in customs duty are affecting manufacturing in the country:

STBs. In the current fiscal year 2008-09, the market for STBs in the country is estimated to be about 4 million units. Almost whole of the demand of STBs is being met through imports, although facilities for manufacturing these STBs exist in the country. This is due to the

projected to grow to one million numbers. The demand is expected to grow 3 million in next two years.

Currently, most of the demand is being met through imports as the LCD panels attract peak rate of import duty (10 per cent), whereas LCD TVs could be imported from Thailand at nil import duty.

Khanna therefore strongly recommends to the government that the import duty on LCD panels should be brought down to zero per cent. If this recommendation is accepted, the LCD TV manufacturing would start in substantial numbers in India; CEAMA estimates

The action lies in implementation of policies and state-level interventions

—N.K. Goyal, president of Communications & Manufacturing Association of India (CMAI)



fact that the customs duty on STBs had been brought down to nil by the government.

The demand for STBs in the next year will be 6-7 million units. The fact that STBs are bought in bulk by direct-to-home TV (DTH TV) operators and cable operators, and that these are losing heavily in their operations as STBs are being subsidised to entice the consumers, even a \$2 difference in price between imported and indigenously manufactured STBs forces the operators to source the boxes from abroad.

It is now a well-known fact that Korean and Chinese STB companies are thriving on demand in India. If only a moderate customs duty of 5 per cent is levied on STBs, the manufacturing in India will take off, thus providing employment to 3500-4000 people in the next fiscal year itself.

LCD TVs. The demand for LCD TVs is growing rapidly worldwide as well as in India. In current fiscal year 2008-09, the demand for LCD TVs is

that it would provide jobs to about 2500 people in the next fiscal year itself.

Excise duties. As for excise duty, Rajoo Goel says that the best solution is to have 8 per cent excise duty for all the inputs used in manufacture of electronic components, parts, assemblies and finished equipment throughout the value chain. In view of the reduced excise duty of 10 per cent across the board implemented recently, this could be easily implemented without loss of revenue or duty overflow.

The overall tax rate of 12 per cent, with 8 per cent excise duty and 4 per cent VAT, would be an ideal situation in the present circumstances for the following reasons:

1. It will drastically reduce grey market operations and increase revenue.
2. It will reduce the end price of equipment and increase the market.
3. Being highly price-elastic, the market for electronic goods would expand manifold and more than neutral-



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